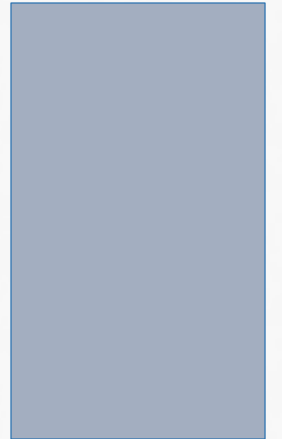


DECISION MAKING

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THE NATURE OF DECISION MAKING

- Decision-making is the action of selecting one alternative from a set of several alternatives.
- Decision-making is important for the following reasons:
 - Achievement of objectives
 - Optimum use of resources
 - Higher efficiency
 - Innovation
 - Motivation
 - Growth and expansion
 - Facing new challenges
 - Encouraging initiative

TYPES OF DECISIONS

PROGRAMMED AND NON-PROGRAMMED DECISIONS

Exhibit 10.1: Comparison of Programmed and Non-programmed Decisions

	Programmed	Non-programmed
Type of decision	Programmable; routine; generic; computational	Non-programmable; unique; innovative
Nature of decision	Procedural; predictable; well defined information and decision criteria	Novel; unstructured; incomplete channels of information; unknown criteria
Decision making strategy	Reliance on rules or computation	Reliance on principles; judgment; creative problem solving processes
Decision making technique	Management science; capital budgeting; computerized solutions; rules	Judgment; intuition; creativity

Source: Dessler, G. (2004). **Management: Principles and practices for tomorrow's leaders** (3rd ed.). Canada: Prentice Hall

TYPES OF DECISIONS (CONT.)

- Strategic, Tactical, and Operational Decisions

Strategic Decisions

- Decisions made at the top level of the organization, and generally determine the organization's overall direction.

Tactical Decisions

- Decisions that are taken by mid-level managers to achieve goals and objectives set by their superiors.

Operational Decisions

- Day-to-day decisions made by employees and lower level managers to ensure targets are met and the business is running smoothly.

DECISION MAKING CONDITIONS

Decision Making under Certainty

- Exact and complete information of the consequence of every decision option.
- Decision maker knows alternatives and their outcomes well.

Decision Making under Risk

- Available alternatives and their consequences are known but risky.
- Alternatives are assessed by calculating the expected probability value of their outcomes. The outcome with the maximum payoff is selected.

Decision Making under Uncertainty

- Decision maker is not aware of the risks or outcomes of the decision alternatives.
- Decision makers can use MaxiMin or Max-Max criterion.

RATIONAL PERSPECTIVES

1. Classical/Rational Model of Decision Making

- Incorporates the idea of rationality into the process of decision making.
- Rational decision making makes the assumptions that a rational manager:

- ✓ Has complete information about a situation.
- ✓ Can differentiate between a problem and its symptoms perfectly.
- ✓ Can accurately recognize all criteria involved in a decision.
- ✓ Can identify and assess all alternatives.
- ✓ Can precisely weigh and select the best alternative.
- ✓ Can, consequently, make optimal decisions that were absent of irrational thoughts.

EXHIBIT 10.2: THE RATIONAL DECISION MAKING PROCESS



BEHAVIORAL ASPECTS OF DECISION MAKING

I. **Bounded Rationality Model of Decision Making**

- The rationality of decision makers is restricted by the actual information they have cognitive biases of their psyches, and the limited time they have to decide.
- Decisions are rational only within the boundaries of the decision maker's mental ability, values, perceptions and skills.
- Under this model, managers satisfice Satisficing means to look for alternate solutions only until a solution that reaches the minimum requirement is found.
- A manager accepts the first alternative that is “good enough” in order to save effort and time.

II. INTUITIVE MODEL OF DECISION MAKING

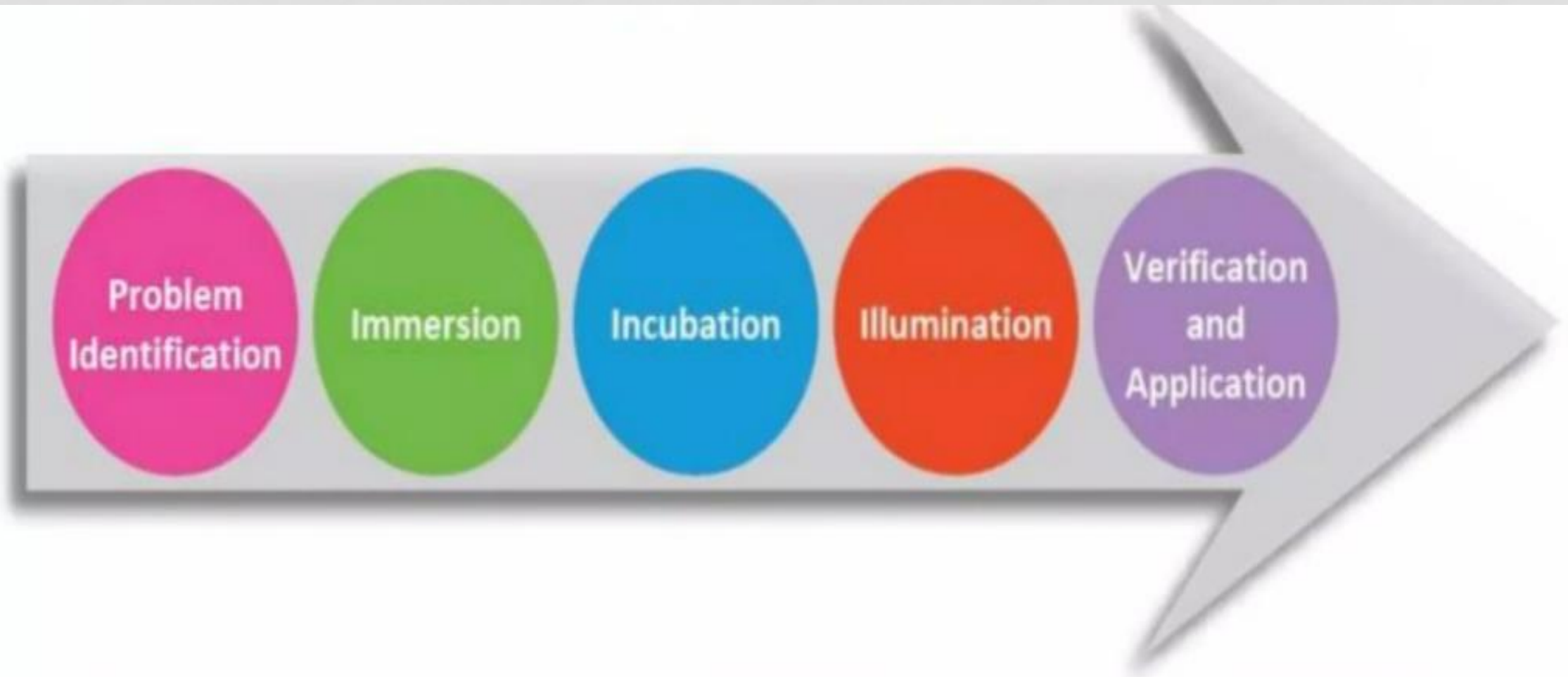
- Intuition is a cognitive means of decision making that relies on the decision maker's instinct, experience, and knowledge.
- It involves making choices without conscious thinking.
- When making a decision, intuitive managers tend to screen the decision situation to identify mental patterns.
- These mental patterns are usually a result of knowledge, practice, and familiarity, and allows managers to know the potential outcomes of their decision.

III. CREATIVE MODEL OF DECISION MAKING

- Creativity is the invention of imaginative new ideas.
- Three factors determine the level of creativity in this model of decision making: **Fluency, Flexibility, and Originality.**
- Techniques managers can use in the creative decision making process include:

- ✓ **Brainstorming**, a collaborative effort where members suggest many ideas together.
- ✓ **Wildstorming**, where a group works on seemingly impossible ideas and suggests how these ideas can be made possible.
- ✓ **Pre-mortem**, a method of imagining and preventing possible issues that could arise from a decision before actually implementing that decision.

EXHIBIT 10.3: THE CREATIVE DECISION MAKING PROCESS



IV. POLITICAL MODEL OF DECISION MAKING

- Decision making is a political process acknowledging the variety of personal interest and goals in the organizational environment.
- Reaching a decision requires resolving conflict, compromising, and building consensus with other actors in the organization.
- Managers make decisions by bargaining and compromising with coalitions, an unofficial alliance of groups within the organization that seek to achieve a shared goal.
- Coalitions can contribute towards the effectiveness and profitability of an organization, or they can hinder useful decisions and ideas based on their own interests.

Exhibit 10.4: Comparison of Decision Making Models

Decision Making Model	Programmed
Rational	• Information on alternatives are available and quantifiable • Decision is important • Manager is trying to maximize payoffs
Bounded Rationality	• Minimum threshold is clear • Time is limited • Manager is not trying to maximize payoffs
Intuitive	• Goals are unclear • Time is limited • Manager has experience with the issue
Creative	• Solutions are not clear • Need for new solutions • Manager has time to get involved
Political	• Multiple issues to solve • Decision requires cooperation of many conflicting parties • Manager does not have centralized power

Adapted from Carpenter, M., Bauer, T., & Erdogan, B. (2010). Principles of management (version 1.0). Retrieved from flatworldknowledge.com¹⁴

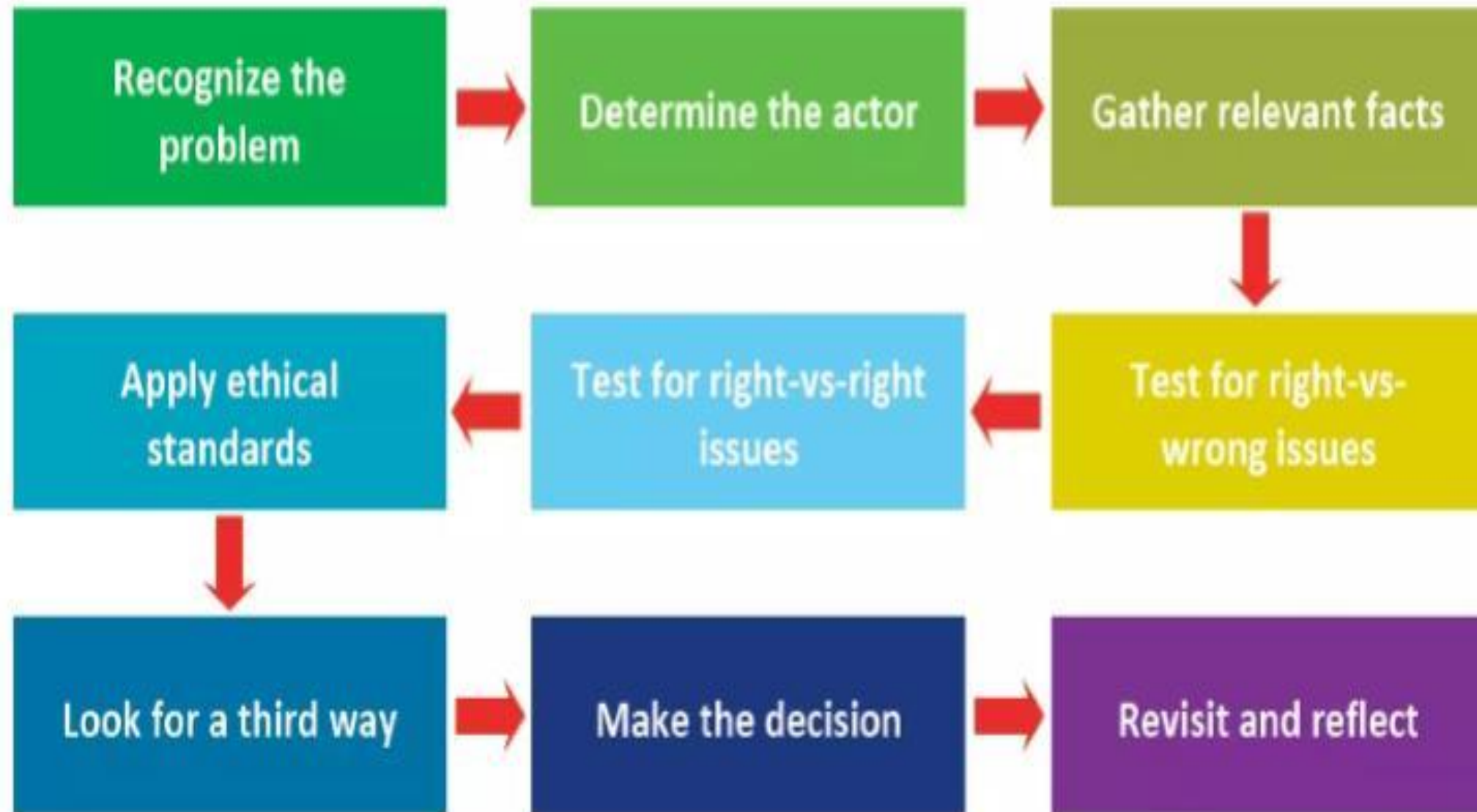
RISK PROPENSITY AND DECISION MAKING

- **Risk propensity** measures the tendency of decision makers to make decisions.
- Managers with low risk propensity are more cautious and conservative when making decisions, and so are likely to avoid mistakes that result in huge losses.
- Managers with high risk propensity are more aggressive and hasty in their decision making, relying heavily on intuition to make decisions that may involve big investments.

ETHICS AND DECISION MAKING

- Ethical decision making issues emerge when decision alternatives include conflicting moral or ethical considerations.
- Managers must be able to thoroughly and sensibly consider the outcomes and ethical ramifications of an alternative before implementing it as a decision.
- Ethical decision making frameworks, such as Kidder's **nine ethical checkpoints**, act as a step-by-step guide for managers facing confusing ethical issues in decision making.

Exhibit 10.5: Ethical Decision Making Checkpoints



CHALLENGES IN DECISION MAKING

Overconfidence Bias	• Decision makers overestimate their capability to foresee future events. • Can lead to risky behavior and faulty decision making.
Hindsight Bias	• Individuals look back and view events as more predictable than they really are. • Managers may project this bias onto others when something goes wrong.
Anchoring	• The tendency for decision makers to rely too much on one piece of information. • May result in lost opportunities or faulty decisions.
Framing Bias	• The way a situation is presented has a strong influence on decision makers. • May lead to poor decisions simply based on how a problem is framed.
Escalation of Commitment	• People proceed on a failing course of action because they already invested in it. • Managers fear admitting their mistake or believe they can recover their losses.
Groupthink	• Members of a group put pressure on each other to conform and reach consensus, thereby increasing the risk of flawed decisions. • Reduces mental efficiency, reality testing, and moral judgment in making decisions.